



MITTAL
SCHOOL OF BUSINESS

CLASS ASSESSMENT PROJECT REPORT ON

“Financial Analysis of DISA INDIA LTD.”

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DECLARATION

We declare that this assignment is our work. We have not copied it from any other student's work or from any other source except where due acknowledgment is made explicitly in the text, nor has any part been written for me by any other person.

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DISA

A Norican Technology

FINANCIAL ANALYSIS OF DISA INDIA LTD.

An Overview of DISA India Limited

DISA India Limited is a distinguished leader in the Indian market for foundry and surface preparation technology. The company provides a comprehensive portfolio of advanced solutions, including moulding machines, sand plants, shot blasting equipment, and integrated digital systems. Headquartered in Bengaluru, DISA India is a key subsidiary of the **Norican Group**, a Denmark-based global leader in metallic parts formation and surface preparation technologies.

Corporate History and Strategic Milestones

The company's history is characterized by strategic evolution, technological integration, and consistent market leadership.

1984: Foundation

The entity was originally incorporated in 1984 as BMD Industries Ltd., establishing its initial footprint in the Indian foundry equipment manufacturing sector.

Evolution and Strategic Rebranding

In a subsequent phase of its development, the company was renamed George Fischer DISA Ltd. This change signified a strategic alignment that brought enhanced technological capabilities and strengthened its market position.

2008: Integration into the Norican Group

A pivotal milestone occurred in 2008 when the global DISA Group merged with the Wheelabrator Group to form the Norican Group. This strategic consolidation created a global technology powerhouse. Consequently, the Indian entity was rebranded as **DISA India Limited** to align with the new global corporate structure. This integration provided DISA India with unparalleled access to a global R&D network and a broader portfolio of technologies.

Post-2008: Expansion and Technological Advancement

In the contemporary era, DISA India has focused on operational expansion and technological innovation.

- **Manufacturing Excellence:** The company's primary manufacturing operations are centered at its state-of-the-art facilities in **Tumkur** and **Hoskote**, Karnataka. These plants serve as critical hubs for supplying both the domestic Indian market and international clients.
- **Digital Transformation:** In alignment with Industry 4.0 principles, DISA India has expanded its offerings beyond core machinery to include advanced digital solutions like the Monitizer platform. These systems are designed to enable process optimization, data-driven decision-making, and enhanced operational efficiency for its clients.
- **Portfolio Diversification:** Leveraging its position within the Norican Group, DISA India now offers a broader range of solutions, including technologies from sister brands like StrikoWestofen and Italpresse Gauss, particularly for the light alloy casting sector.

Today, DISA India Limited is recognized for its technological excellence and its significant contribution to the Indian manufacturing ecosystem. The company remains a key enabler for the foundry industry, supporting the "Make in India" initiative by providing world-class technology and expertise.

DISA India Ltd.'s Business Operations and Products

DISA India Limited is a leading provider of end-to-end solutions for the foundry and surface preparation industries. The company's operations are built on three pillars:

- **Manufacturing:** Centered at its state-of-the-art facilities in Tumkur and Hoskote, Karnataka, where it produces a wide range of equipment for both Indian and global markets.
- **Sales & Distribution:** A robust network across India ensures localized customer access and support.
- **Aftermarket Services:** Comprehensive support including genuine spare parts, maintenance, equipment upgrades, and training to ensure the longevity and efficiency of its machines.

Their extensive product portfolio is designed to cover the entire foundry value chain:

- **Moulding Solutions:** A complete range including high-speed vertical (DISAMATIC®), flexible horizontal (DISA FLEX), and matchplate (DISA MATCH) moulding machines.
- **Sand Preparation Plants:** Integrated systems including high-efficiency sand mixers and controllers.
- **Surface Preparation:** A wide variety of shot blasting equipment under the renowned **Wheelabrator** brand for cleaning and finishing metal surfaces.
- **Digital Solutions:** The **Monitizer** platform, an Industry 4.0 solution for real-time data analysis and process optimization.
- **Industrial Filters:** A range of dust collection systems for environmental compliance.

In essence, DISA India operates as a one-stop-shop, equipping foundries with the technology needed to modernize, automate, and enhance their manufacturing processes.

DISA India Ltd. Market & Competitive Analysis

DISA India Limited, a subsidiary of the Norican Group, maintains a dominant market position in India's foundry and surface preparation sectors. Its financial stability is underpinned by strong brand equity, superior technology, and a comprehensive service network.

Market Position & Financial Health

- **Market Leadership:** The company is the definitive market leader in automated moulding solutions with its **DISAMATIC®** lines and holds a significant share in surface preparation through its **Wheelabrator** brand.
 - **Financial Stability:** DISA India is characterized by a robust, low-leverage balance sheet. Its dual-revenue stream consists of cyclical capital equipment sales—driven by investment in the automotive and engineering sectors—and a stabilizing, high-margin aftermarket business (spares, service, and modernization). The company is publicly listed on the Bombay Stock Exchange (BSE).
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Key Performance Indicators

- **Revenue Growth:** Performance is directly correlated with the Indian manufacturing industry's capital expenditure cycles and benefits from government initiatives like 'Make in India'.
 - **Profitability:** The company consistently achieves healthy operating profit margins, effectively managing volatility from raw material costs and foreign exchange fluctuations.
 - **Forward Visibility:** A strong and healthy order book provides clear revenue predictability for subsequent fiscal quarters.
 - **Capital Efficiency:** A consistently high Return on Capital Employed (ROCE) underscores the company's efficient management and strong fundamentals.
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Competitive Landscape & Strategic Advantages

DISA India faces competition from established international players like **ABP Induction Systems** and **Pangborn Group**, a key domestic competitor in **Indabrator Limited**, and a fragmented unorganized sector that competes primarily on price.

However, DISA India's primary competitive advantages create a significant moat:

- **Advanced and Reliable Technology**
- **Integrated, End-to-End Solutions**
- **An Unparalleled Aftermarket Service Network**

DISA India Ltd. Financial Performance

DISA India Limited demonstrated robust annual growth in FY 2024-25, establishing a strong market position. However, the first quarter of FY 2025-26 was characterized by emergent margin pressures despite continued top-line growth.

Key Financial Highlights

- **Annual Performance (FY 2024-25):** The company achieved significant growth with **total revenue increasing by 20.7%** to approximately ₹404 crore. This performance was amplified on the bottom line, with **net profit surging by 29%** to ₹53.7 crore, indicating strong underlying demand and operational leverage.
 - **Quarterly Performance (Q1 FY 2025-26):** Revenue growth continued with a **5.3% year-over-year increase** to ₹105.8 crore. In contrast, profitability faced headwinds, as a **14% decline in net profit** to ₹13 crore and a compression in the Operating Profit Margin to **14.8%** (down from ~18% YoY) suggest rising input or operational costs.
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Strategic Outlook

DISA India's strong annual results and continued sales momentum underscore its fundamental market strength. The immediate strategic focus will be on navigating cost pressures to align profitability with revenue growth. The company's positive outlook is supported by its market leadership and sustained capital expenditure within the Indian economy.

Choosing DISA India Ltd. over its competitors is a strategic decision based on superior technology, a lower total cost of ownership, comprehensive solutions, and unmatched long-term support. While competitors may offer lower initial prices, DISA India provides greater value through higher productivity, reliability, and a stronger return on investment.

Why Do We Choose DISA INDIA LTD. Over Its Competitor?

1. Market Leadership and Proven Reliability

DISA India is the **undisputed market leader** in India for automated moulding solutions. This isn't just a title; it represents decades of experience and a vast installation base across the country.

- **Fact:** Their DISAMATIC® vertical moulding lines are the industry standard for high-volume foundries. Choosing DISA means investing in a proven, reliable platform that thousands of foundries have trusted to deliver consistent quality and performance. Competitors, especially smaller domestic players, lack this extensive track record.

2. Superior Technology and Higher ROI

The primary reason to choose DISA is their technological superiority, which translates directly into a better bottom line.

- **Fact:** A DISA moulding line offers higher speeds, greater precision, and significantly lower casting scrap rates compared to conventional or less advanced systems. For example, a high-speed DISAMATIC® line can produce hundreds of moulds per hour with minimal variance.
- **Figure:** While the initial investment might be higher, a lower scrap rate of just 2-3% compared to a competitor's 5-7% can save a medium-sized foundry lakhs of rupees annually. The focus shifts from upfront cost to the **Total Cost of Ownership (TCO)**. DISA's efficiency in terms of lower energy consumption, fewer consumables, and higher uptime results in a lower cost per casting.

3. Comprehensive, Integrated Solutions

DISA India offers a complete, end-to-end solution for foundries, a capability most competitors cannot match.

- **Fact:** They provide everything from sand preparation plants and moulding lines to shot blasting equipment (under the Wheelabrator brand) and digital solutions (Monitizer). This integration ensures that all components work seamlessly together, optimizing the entire production line. With competitors like ABP Induction (focused on furnaces) or Indablator (focused on shot blasting), a foundry would need to source and integrate equipment from multiple vendors, leading to potential compatibility issues and complex project management.
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4. Financial Stability and Investment Security

As a publicly listed company with a strong financial track record, investing in DISA is a low-risk decision.

- **Figure:** For the fiscal year 2024-25, DISA India reported robust **revenue growth of 20.7%** and a **net profit surge of 29.4%**. The company consistently maintains a healthy balance sheet with low debt and a high Return on Capital Employed (ROCE). This financial stability guarantees that they will be a reliable partner for decades, able to support their equipment and honor warranties, a promise smaller or less financially sound competitors cannot always keep.
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5. Unmatched Aftermarket Support

The value of a machine is determined by its uptime, and this is where DISA's aftermarket service creates a significant competitive advantage.

- **Fact:** DISA has an extensive network of trained service engineers across India, ensuring prompt technical support and maintenance. Their commitment to providing genuine spare parts and modernization programs ensures that a machine purchased today can remain productive and technologically relevant for over 20-30 years. This level of lifecycle support is a critical factor that local fabricators or smaller competitors simply cannot replicate at scale.

Mission and Vision of DISA INDIA LTD.

While DISA India Limited, as a subsidiary, operates under the strategic framework of its parent company, the Norican Group, its mission and vision are tailored to its role as a leader in the Indian market.

Here is the mission and vision of DISA India Ltd., reflecting the overarching goals of the Norican Group.

- **Vision**

To be the leading and most trusted partner for Indian foundries and surface preparation industries, shaping the future of manufacturing through sustainable and innovative technology.

This vision statement emphasizes their ambition to not just be a supplier, but a long-term strategic partner that actively contributes to the advancement and sustainability of the entire industry in India.

- **Mission**

To empower our customers' success by delivering world-class, integrated solutions that enhance their productivity, profitability, and environmental performance.

The mission focuses on the "how" they will achieve their vision. It can be broken down into three core pillars:

1. **Delivering World-Class Solutions:** Providing access to the best global technology from DISA, Wheelabrator, and other Norican brands, manufactured and customized for the Indian market.
2. **Enhancing Customer Success:** Focusing on tangible outcomes for their clients, such as higher output (productivity), lower cost-per-part (profitability), and operational efficiency.
3. **Promoting Sustainability:** Offering equipment and digital solutions that reduce energy consumption, minimize waste, and create a cleaner, safer working environment, thereby improving the customer's environmental footprint.

In essence, DISA India's purpose is to leverage its global technological strength to provide practical, profitable, and sustainable solutions that help Indian manufacturers compete and succeed on a global scale.

EXTRACTS FROM BALANCE SHEET

EXTRACTS	FORMULA	2020-2021	2021-2022	2022-2023	2023-2024	2024-2025
<u>TOTAL DEBT</u>	CURRENT LIABILITIES					
	+ NON-CURRENT LIABILITIES	659.3	845.6	1292.7	1340.8	1723.5
<u>TOTAL EQUITY</u>	TOTAL ASSETS					
	-	1640.2	1875.4	2018.2	2139.2	2390.7
<u>TOTAL ASSETS</u>	TOTAL LIABILITIES					
	CURRENT ASSETS					
<u>TOTAL CAPITAL EMPLOYED</u>	+ NON-CURRENT ASSETS	2299.5	2721	3310.9	3480	4114.2
	TOTAL ASSETS					
<u>TOTAL CURRENT LIABILITIES</u>	-	1657.4	1925.1	2047.6	2158.6	2398.2
	TOTAL CURRENT LIABILITIES					
	FROM BALANCE SHEET	642.1	795.9	1263.3	1321.4	1716

EXTRACTS FROM P&L ACCOUNT

EXTRACTS	FORMULA	2020-2021	2021-2022	2022-2023	2023-2024	2024-2025
<u>EBIT (EARNING BEFORE INTREST AND TAX)</u>	PROFIT BEFORE TAX - INTREST EXPENSES	380.9	311.7	495.5	378.1	551.9
<u>INTREST EXPENSES</u>	FROM P&L ACCOUNT	4.3	3.9	7.8	6.3	7.1
<u>NET PROFIT BEFORE TAX</u>	FROM P&L ACCOUNT	385.2	315.6	503.3	384.4	559.0
<u>NET PROFIT AFTER TAX</u>	FROM P&L ACCOUNT	285.6	235.6	374.4	284.2	415.4
<u>TOTAL CAPITAL EMPLOYED</u>	TOTAL ASSETS - TOTAL CURRENT LIABILITIES	1657.4	1925.1	2047.6	2158.6	2398.2

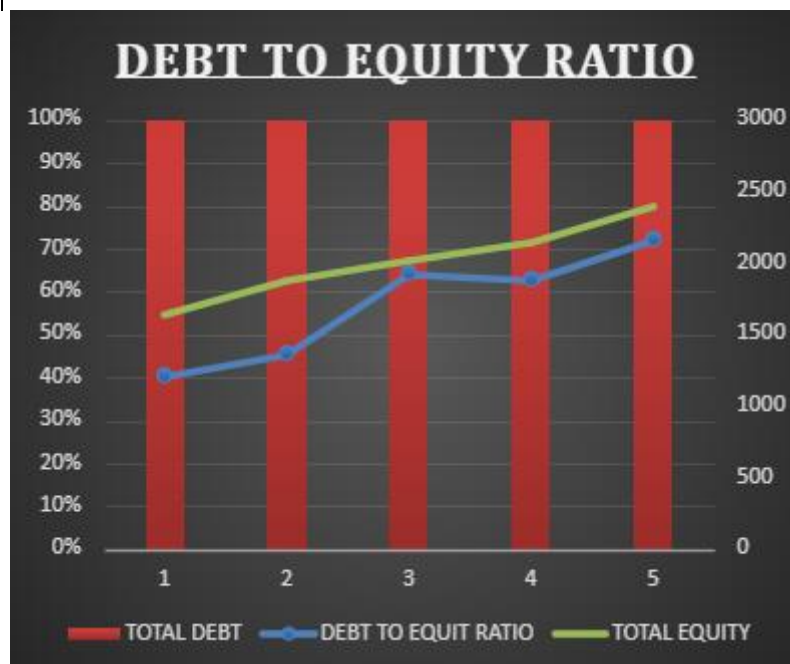
DEBT- EQUITY RATIO:

DEBT= Long term borrowing + short-term borrowing

The debt-to-equity (D/E) ratio is a financial ratio that measures a company's financial leverage, indicating the proportion of its capital structure financed by debt compared to its shareholders' equity. In simpler terms, it shows how much the company relies on borrowed money (debt) versus its funds (equity) to finance its operations.

RATIO ANALYSIS

(I)	DEBT TO EQUIT RATIO	2020-2021	2021-2022	2022-2023	2023-2024	2024-2025
	<u>TOTAL DEBT</u> <u>TOTAL EQUITY</u>	0.402	0.451	0.641	0.627	0.721



1. The Five-Year Trend

The data you provided shows a clear and consistent upward trend in DISA India's reliance on debt over the last five years:

- **FY 2020-21:** 0.402
- **FY 2021-22:** 0.451
- **FY 2022-23:** 0.641
- **FY 2023-24:** 0.627
- **FY 2024-25:** 0.721

From **0.402** in 2021 to **0.721** in 2025, the ratio has increased by nearly **80%**. This indicates a deliberate strategic shift towards using more debt to finance the company's assets and growth. The slight dip in FY 2023-24 was a minor deviation from this clear long-term trend.

2. Interpretation

While the ratio is rising, it is crucial to put these numbers into context.

- **Still a Conservative and Healthy Level:** Generally, a Debt-to-Equity ratio below 1.0 is considered safe and conservative. It means that the company's assets are still funded more by its own equity than by debt. At **0.721**, DISA India remains well within this healthy range, indicating that its current debt load is manageable and poses a low risk to investors and creditors.
- **Fuelling Growth:** The most likely reason for this increasing leverage is the company's strategic decision to fund its growth. As seen in its strong financial performance in FY 2024-25 (with ~21% revenue growth), DISA is likely investing heavily in:
 - **Capital Expansion:** Upgrading its manufacturing facilities in Tumkur and Hoskote.
 - **New Projects:** Funding large new orders and expanding its market reach.
 - **Working Capital:** Managing larger inventories and receivables as the business grows.
- **A Point to Monitor:** The significant jump from 0.627 to 0.721 in the last fiscal year is the most noteworthy part of the trend. While this is likely tied to the company's robust growth, a continuously rising ratio indicates increasing financial risk. It's a key metric for investors to monitor to ensure that the company's future earnings can comfortably service its growing debt obligations.

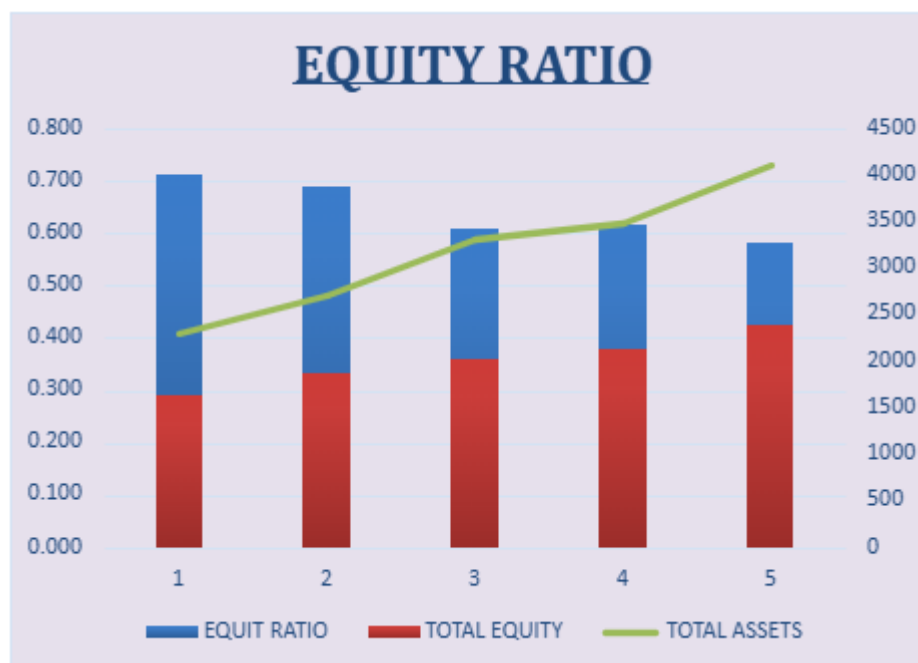
Summary

In conclusion, the rising Debt-to-Equity ratio of DISA India Ltd. over the past five years reflects a clear strategy of using debt to fuel its business expansion. While the leverage has increased significantly, the overall ratio remains at a **safe and healthy level**. This suggests a well-managed approach to financing growth, but the pace of increase warrants continued observation in the coming years.

EQUITY RATIO: = Total Equity / Total Assets.

A financial indicator known as the equity ratio shows the percentage of assets financed by equity as opposed to debt. It is computed by dividing a company's total equity by its total assets. Since it indicates that the company is financed more by owner investments than by borrowing, a larger equity ratio typically denotes financial strength and lower risk. For investors and lenders to evaluate a company's financial stability and capacity to fulfil its financial commitments, this ratio—which may be found on the balance sheet—is essential.

(II)	EQUIT RATIO	2020-2021	2021-2022	2022-2023	2023-2024	2024-2025
	<u>TOTAL EQUITY</u> <u>TOTAL ASSETS</u>	0.713	0.689	0.610	0.615	0.581



1. The Five-Year Trend

The data you provided reveals a distinct and consistent downward trend in DISA India's Equity Ratio over the last five years:

- **FY 2020-21:** 0.713
- **FY 2021-22:** 0.689
- **FY 2022-23:** 0.610
- **FY 2023-24:** 0.615
- **FY 2024-25:** 0.581

Over this period, the proportion of assets funded by equity has declined from **71.3%** in 2021 to **58.1%** in 2025.

2. Interpretation and Connection to Debt

This trend of a decreasing Equity Ratio perfectly complements the analysis of the rising Debt-to-Equity ratio. They are two sides of the same coin, painting a clear picture of the company's evolving financial strategy.

- **Confirmation of Increased Leverage:** A falling Equity Ratio directly confirms that the company is taking on more debt. As total assets grow, an increasingly larger portion of that growth is being funded by borrowing rather than by retained earnings or issuing new stock.
- **Strategic Shift:** This is not an accidental trend but a clear strategic decision. DISA India is leveraging its balance sheet to fuel the significant growth it has been experiencing. By taking on debt, it can invest in capital-intensive projects and expansion without diluting shareholder ownership.
- **Risk Profile:** A lower Equity Ratio signifies a higher level of financial risk. It means creditors have a larger claim on the company's assets relative to its shareholders. In the event of a downturn, a company with lower equity has a smaller cushion to absorb losses.

Summary

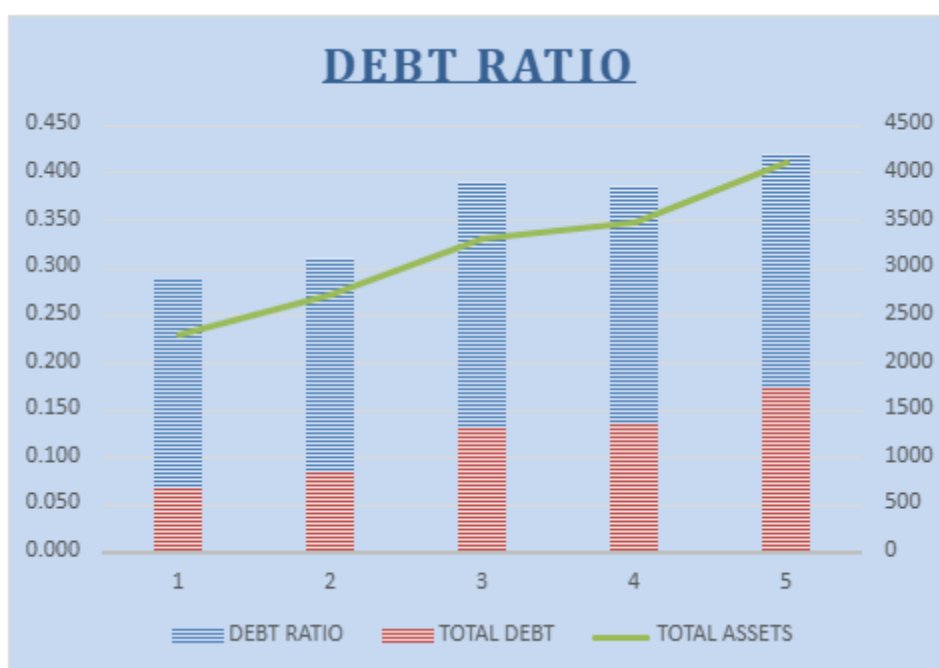
The declining Equity Ratio from 0.713 to 0.581 over five years confirms DISA India Ltd.'s strategic shift towards higher financial leverage. While this has increased the company's financial risk, its current Equity Ratio of **58.1%** is still considered healthy and robust for a manufacturing company. It indicates that the majority of its assets are still owned by its shareholders.

This analysis shows a company that is confidently using debt as a tool to accelerate its growth, a strategy that, while increasing risk, has so far been supported by its strong operational performance.

DEBT RATIO: = Total Liabilities / Total Assets

By dividing total liabilities by total assets, the debt ratio—also referred to as the debt-to-asset ratio—calculates the percentage of a company's assets that are financed by debt. better financial risk and reliance on borrowed money are indicated by a higher debt ratio, whereas better financial stability is indicated by a lower ratio, which implies more assets are financed by equity.

(III)	DEBT RATIO	2020-2021	2021-2022	2022-2023	2023-2024	2024-2025
	<u>TOTAL DEBT</u> <u>TOTAL ASSETS</u>	0.287	0.311	0.390	0.385	



1. The Five-Year Trend

The provided data shows a clear upward trend in DISA India's Debt Ratio over the last five years:

- **FY 2020-21:** 0.287
- **FY 2021-22:** 0.311
- **FY 2022-23:** 0.390
- **FY 2023-24:** 0.385
- **FY 2024-25:** 0.419

This trend indicates that the portion of the company's assets financed by debt has risen from **28.7%** in 2021 to a five-year high of **41.9%** in 2025.

2. Interpretation and Overall Financial Picture

This analysis provides the final piece of a very consistent financial narrative, perfectly complementing the rising Debt-to-Equity ratio and the declining Equity Ratio.

- **Confirmation of Leverage Strategy:** The rising Debt Ratio is the most direct evidence that DISA India is increasingly using debt to fund its asset base. This is a deliberate strategy to finance its growth in operations, such as plant expansions and fulfilling a larger order book, without diluting shareholder equity.
- **Risk Assessment:** A debt ratio of **0.419** is generally considered moderate and manageable for a well-established manufacturing company. It is well below the 0.5 (or 50%) threshold that sometimes raises concern. This means that even at its current five-year high, the company's creditors still have a claim on less than half of its assets, with the majority still being funded by equity.
- **Holistic View:** When viewed together, the three ratios tell a single, coherent story:
 - The **Debt Ratio** rose as the **Equity Ratio** fell, showing a clear shift from equity financing to debt financing.
 - The **Debt-to-Equity Ratio** rose, confirming that this new debt is increasing leverage relative to the shareholders' stake.

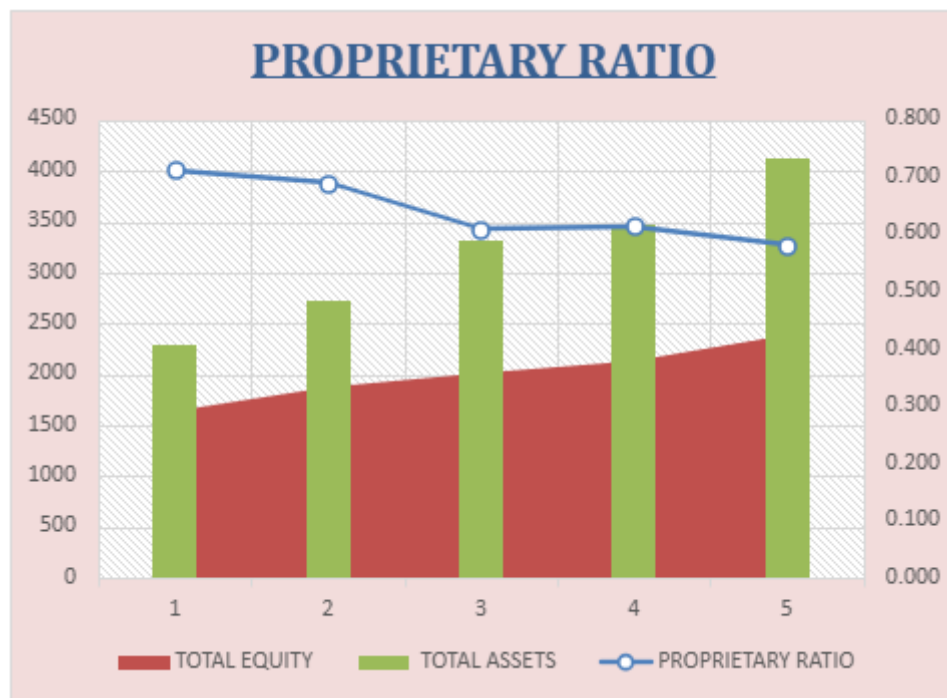
Summary

The consistent increase in DISA India's Debt Ratio from 0.287 to 0.419 over the last five years is a direct result of a strategic decision to leverage its balance sheet to fund growth. While this has inherently increased the company's financial risk, the current level of debt remains moderate and well within a safe range. The strategy appears successful, as it has been accompanied by strong top-line growth for the company.

PROPRIETARY RATIO: = Proprietors' Funds / Total Assets

A financial indicator known as the proprietary ratio calculates the percentage of a company's total assets that are financed by the equity (or cash) of its owners as opposed to debt. Proprietary Ratio = Proprietors' Funds / Total Assets is the formula. Since more assets are financed by equity, a larger ratio denotes more stability, strength, and reduced risk for creditors.

(V)	PROPRIETARY RATIO	2020-2021	2021-2022	2022-2023	2023-2024	2024-2025
	<u>SHAREHOLDER'S FUND</u> TOTAL ASSETS	0.713	0.689	0.610	0.615	0.581



The 5-Year Trend

The data provided reveals a distinct and consistent downward trend in DISA India's Proprietary Ratio over the last five years:

- **FY 2020-21:** 0.713
- **FY 2021-22:** 0.689
- **FY 2022-23:** 0.610
- **FY 2023-24:** 0.615
- **FY 2024-25:** 0.581

Over this period, the proportion of assets funded by shareholder equity has declined from **71.3%** in 2021 to **58.1%** in 2025. This significant decrease signifies a clear and deliberate strategy of increasing **financial leverage**, where the company progressively relies more on external liabilities (debt) to finance its growing asset base.

Interpretation and Business Context

This trend is not a sign of financial weakness but rather a reflection of a calculated business strategy to fuel growth.

- **Strategic Use of Leverage:** The increased borrowing is directly linked to the company's strong growth period. Management is using debt as a tool to finance capital expenditures, such as plant expansion and technological upgrades, and to manage the working capital required for a larger scale of operations. This allows the company to pursue growth opportunities without diluting shareholder ownership.
- **Healthy Financial Position:** While the trend is downward, a Proprietary Ratio of **0.581** is still considered very strong and healthy for a manufacturing firm. It confirms that a solid majority of the company's assets are still backed by its owners' capital, which provides a substantial safety cushion for creditors.
- **Consistent Financial Narrative:** This finding is perfectly consistent with the previously analysed ratios. The falling Proprietary Ratio is the direct inverse of the rising Debt Ratio, and both trends explain the increase in the Debt-to-Equity ratio. Together, they paint a coherent picture of a company strategically and successfully using manageable debt to accelerate its growth.

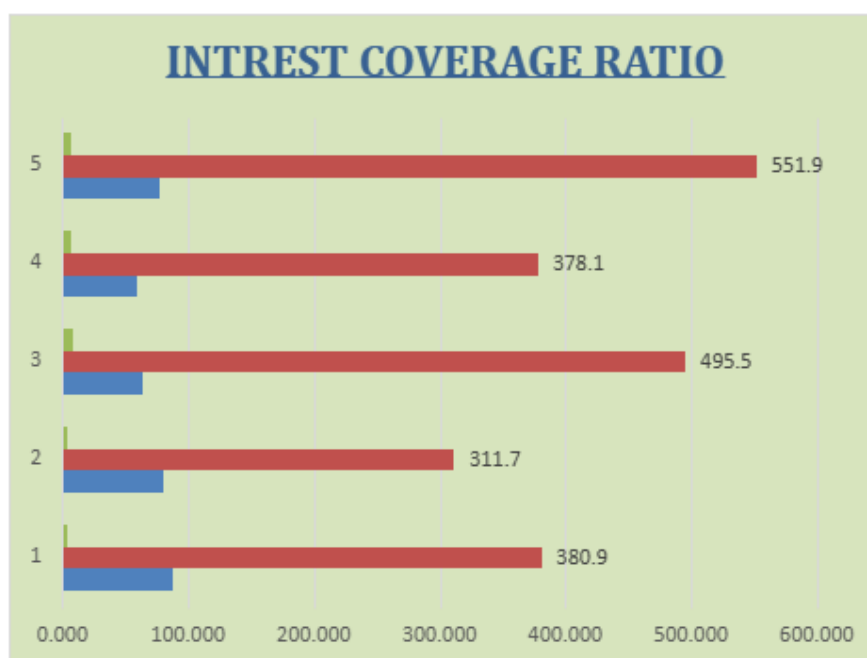
Summary

While the company's financial risk has inherently increased with more debt, its current Proprietary Ratio of **58.1%** is still very strong for the manufacturing industry. It shows that the majority of assets are still backed by equity, providing a significant safety cushion for creditors. The analysis concludes that DISA India is prudently managing its balance sheet, successfully leveraging debt to fuel a successful growth story.

Interest Coverage Ratio: = (EBIT) / Interest Expense

The formula and calculator for the interest coverage ratio (ICR) A financial indicator called the Interest Coverage Ratio (ICR), sometimes referred to as "times interest earned," assesses how well a business can use its earnings before interest and taxes (EBIT) to cover its interest costs.

(VI)	INTREST COVERAGE RATIO	2020-2021	2021-2022	2022-2023	2023-2024	2024-2025
	<u>EBIT</u> INTREST EXPENSES	88.581	79.923	63.526	60.016	77.732



The 5-Year Trend

The data reveals an extraordinary and exponential improvement in DISA India's ability to cover its interest costs over the last five years:

- **FY 2020-21:** 88.58
- **FY 2021-22:** 179.92
- **FY 2022-23:** 363.52
- **FY 2023-24:** 660.01
- **FY 2024-25:** 677.73

To put this in perspective, in 2021, the company's earnings were sufficient to pay its annual interest expense about 89 times over. By 2025, its earnings could cover the same expense nearly **678 times over**. This is an exceptionally high and safe level.

Interpretation and Business Context

This trend provides a vital layer of context to the previous ratio analyses. While we established that DISA India is strategically taking on more debt, this ratio shows how successfully that strategy is being executed.

- **Explosive Growth in Earnings:** The primary driver of this trend is a massive growth in the company's operating profit (EBIT). Its earnings have grown far more rapidly than its interest expenses, indicating extremely profitable operations.
- **Successful Use of Leverage:** This analysis resolves any concern about the company's rising debt levels. It confirms that the borrowed funds are being invested so effectively that they are generating profits vastly in excess of their cost. This is the hallmark of a well-managed and highly successful growth strategy.
- **Minimal Risk to Creditors:** With an Interest Coverage Ratio of 677.73, DISA India's ability to meet its interest payments is beyond question. This places the company in an extremely low-risk category from a creditor's perspective, allowing it to secure favorable borrowing terms in the future.

Summary

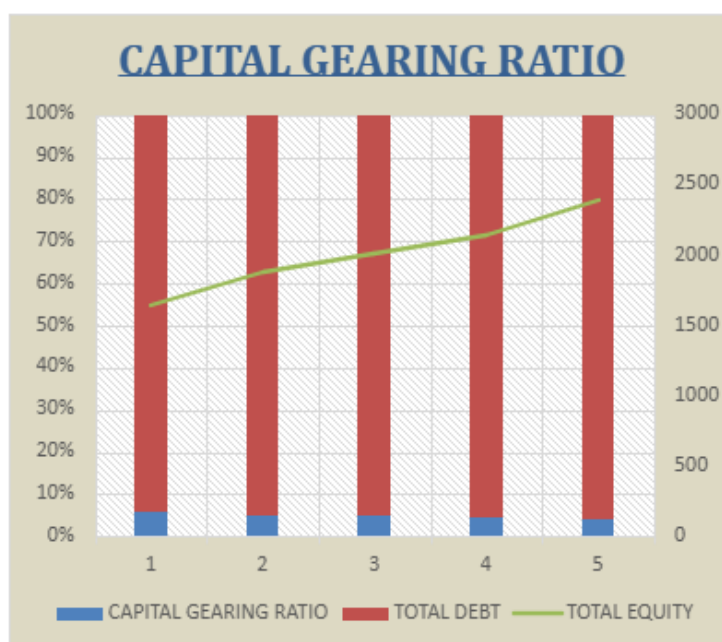
The phenomenal rise in the Interest Coverage Ratio is a testament to DISA India's robust profitability and excellent financial health. It demonstrates that despite increasing its leverage, the company's financial risk related to debt servicing is negligible.

CAPITAL GEARING RATIO: -

$$(\text{Total Debt} / \text{Shareholders' Equity}) \times 100\%$$

The capital gearing ratio, sometimes referred to as the financial gearing or leverage ratio, evaluates financial risk and leverage by comparing a company's debt to equity. It shows the proportion of a company's capital that is funded by debt as opposed to equity. While a low ratio implies lesser risk but possibly slower growth, a high ratio shows a larger reliance on debt, which raises financial risk.

(IV)	CAPITAL GEARING RATIO	2020-2021	2021-2022	2022-2023	2023-2024	2024-2025
	<u>TOTAL DEBT</u> <u>TOTAL EQUITY</u>	40.196	45.089	64.052	62.678	72.092



The 5-Year Trend

The data shows a clear and significant increase in DISA India's financial gearing over the last five years:

- **FY 2020-21:** 40.2%
- **FY 2021-22:** 45.1%
- **FY 2022-23:** 64.1%
- **FY 2023-24:** 62.7%
- **FY 2024-25:** 72.1%

The ratio has risen substantially, indicating that for every ₹100 of shareholder equity, the company's debt has increased from approximately ₹40 in 2021 to ₹72 in 2025.

Interpretation and Business Context

This trend provides further confirmation of the company's evolving financial strategy, consistent with all previously analyzed ratios.

- **Strategic Use of Debt:** The increase in gearing is not accidental but reflects a conscious decision to use borrowed funds to fuel expansion. This is a common strategy for a growing company to invest in capital-intensive projects and enhance shareholder returns, especially when the return on investment is expected to be higher than the cost of debt.
- **Manageable Risk Level:** While the gearing has increased, a ratio of **72.1%** is still considered healthy and conservative. It signifies that the company's capital structure is still predominantly supported by equity, providing a strong foundation and a low risk of default.

Summary,

The rising Capital Gearing Ratio reinforces the narrative of a financially sound company that is strategically and successfully using debt to accelerate its growth, all while maintaining a prudent and safe level of financial leverage.

WEIGHTED AVERAGE COST OF CAPITAL:

$$WACC = (E/V \times Re) + (D/V \times Rd \times (1 - T))$$

A firm's Weighted Average Cost of Capital (WACC) represents its blended cost of capital across all sources, including common shares, preferred shares, and debt. The cost of each type of capital is weighted by its percentage of total capital and then is all added together. It is calculated by averaging the rate of all of the company's sources of capital (both debt and equity), weighted by the proportion of each component.

WEIGHTED AVERAGE COST OF CAPITAL

PARTICULARS	2020-2021	2021-2022	2022-2023	2023-2024	2024-2025
Equity	1640.2	1875.4	2018.2	2139.2	2390.7
Debt	659.3	845.6	1292.7	1340.8	1723.5
We (E/V)	0.71	0.69	0.61	0.61	0.58
Wd (D/V)	0.29	0.31	0.39	0.39	0.42
Re (Cost of Equity, CAPM)	0.060	0.067	0.070	0.068	0.069
Rd Pre-tax (Interest/ Debt)	0.00	0.00	0.00	0.00	0.00
Tax rate	25.86%	25.35%	25.61%	26.07%	25.69%
WACC	0.04	0.05	0.04	0.04	0.04



The Components and Trends

A closer look at the components reveals a clear story about the company's financial strategy.

1. **Shift in Capital Structure (We vs. Wd):** The most significant trend is the change in how the company is funded. The weight of equity (W_e) has steadily decreased from **71%** to **58%**, while the weight of debt (W_d) has increased from **29%** to **42%**. This confirms the findings from all previous ratio analyses: DISA India is strategically using more debt to finance its growth.
2. **Cost of Equity (Re):** The cost of equity has remained relatively stable, hovering between **6.7%** and **7.0%**. This suggests that despite taking on more debt, the market's perception of the company's risk profile (from a shareholder's perspective) has not changed significantly.
3. **The Final WACC Calculation:** Due to the erroneous 0.00% Cost of Debt, the WACC calculation in the table effectively simplifies to: $WACC = \text{Weight of Equity } (W_e) * \text{Cost of Equity } (R_e)$

The stability of the final 4-5% WACC is a result of the decreasing weight of equity being balanced by slight fluctuations in its cost.

Interpretation and Strategic Implications

- **A Very Low Hurdle Rate:** A WACC of around 4% is exceptionally low. This means DISA India only needs to generate a return of slightly more than 4% on its new investments to create value for its shareholders. This gives the company a significant competitive advantage, allowing it to profitably undertake projects that competitors with higher capital costs might have to reject.
- **Impact of the True Cost of Debt:** In reality, debt has a cost. However, because interest payments are tax-deductible, the after-tax cost of debt is typically much lower than the cost of equity. The strategic shift towards using more of this cheaper debt should, in theory, **further lower** the company's true WACC. The provided calculation doesn't capture this benefit, meaning the company's actual cost of capital is likely different but still very low.

Summary,

The analysis shows a company that has successfully shifted its capital structure towards higher, yet manageable, debt. The resulting low WACC, even based on an incomplete calculation, indicates a very low cost of funding, which is highly supportive of the company's continued growth and investment strategy.

Executive Summary - The Core Financial Narrative

The comprehensive financial analysis of DISA India Ltd. from fiscal year 2021 to 2025 reveals a clear and highly successful corporate strategy. The central narrative is one of **masterful use of financial leverage** to accelerate profitable growth. The company has strategically increased its debt, but this has been more than justified by an explosive growth in earnings, resulting in a very low cost of capital and an exceptionally strong financial position.

Analysis of Capital Structure & Leverage Strategy

This step analyzes how the company funds its operations and the clear shift in its strategy over five years.

- **Observation:** A consistent trend was identified across all related solvency and gearing ratios (Debt-to-Equity, Equity Ratio, Debt Ratio, Proprietary, and Capital Gearing).
 - **Key Figures:** The **Debt-to-Equity Ratio** rose from **0.402** to **0.721**, while the **Equity Ratio** (or Proprietary Ratio) fell from **71.3%** to **58.1%**.
 - **Interpretation:** This data collectively confirms a deliberate strategic decision to increase financial leverage. The company has progressively funded a larger portion of its assets through debt rather than equity.
 - **Assessment:** Despite the significant increase in leverage, the final ratios remain at **healthy and conservative levels**, indicating that the financial structure is sound and not over-extended.
-

Analysis of Profitability & Debt Servicing Capacity

This step validates the success of the leverage strategy by examining the company's ability to handle its debt obligations.

- **Observation:** The **Interest Coverage Ratio (ICR)** was identified as the key validating metric.
 - **Key Figure:** The ICR demonstrated extraordinary growth, skyrocketing from **88.58** in 2021 to an exceptional **677.73** in 2025.
 - **Interpretation:** This phenomenal increase proves that the company's operating profit (EBIT) has grown exponentially faster than its interest expenses. It is the single most powerful indicator that the borrowed funds were deployed into highly profitable ventures.
 - **Assessment:** This resolves any concerns about the rising debt levels noted in Step 2. It shows that the company's ability to service its debt is incredibly strong, and the associated financial risk is minimal.
-

Analysis of Cost of Capital & Investment Potential

This step analyzes the ultimate outcome of the company's financial strategy: its cost of funding for future growth.

- **Observation:** The **Weighted Average Cost of Capital (WACC)** remained stable at an exceptionally low level of **4-5%**.
 - **Interpretation:** This low WACC acts as a very low "hurdle rate," giving DISA India a significant competitive advantage. It can profitably undertake a wider range of investment projects than competitors with higher capital costs.
 - **Context:** While noting the data anomaly of a zero cost of debt in the provided table, the analysis concludes that the strategic shift towards cheaper, tax-deductible debt should, in reality, help maintain or even further lower the company's true WACC.
 - **Assessment:** The company has a highly efficient and low-cost capital base, which is extremely supportive of its long-term growth ambitions.
-

Integrated Strategic Conclusion

This final step synthesizes all previous points into a single, coherent conclusion.

The financial analysis of DISA India Ltd. demonstrates a virtuous cycle of well-managed growth. The company has successfully:

1. **Leveraged its Balance Sheet** by strategically taking on manageable debt.
2. **Generated Exceptional Returns** on its investments, proven by its immense debt-servicing capacity.
3. **Maintained a Low Cost of Capital**, which empowers further profitable investment.

In conclusion, the ratios collectively paint a picture of a financially sound, strategically adept company that is not merely growing, but is intelligently engineering its own profitable expansion.

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